NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- Week 8

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

Concentration ratio is the percentage of the market's total output supplied by its ……. largest firms.

a. Three
b. Four
c. Five
d. Two

Correct Answer: b

Solution: By the definition of Concentration ratio.

QUESTION 2:

When firms collude to decide on the price to charge and quantity to produce, the situation is called cartel.

a. True
b. False.

Correct Answer: a

Solution: Definition of cartel

QUESTION 3:

Which of the following is incorrect in oligopoly market?

a. $Q_{competition} > Q_{oligopoly} > Q_{monopoly}$
b. $P_{competition} < P_{oligopoly} < P_{monopoly}$
c. $Q_{competition} > Q_{monopoly} > Q_{oligooly}$
d. $Q_{monopolistic\ competition} > Q_{oligopoly} > Q_{monopoly}$

Correct Answer: c

Solution: Other options are correct.

QUESTION 4:

As a group, oligopolists earn the highest profit when they produce a total quantity of output that falls short of the Nash-equilibrium total quantity.

a. **True**
b. False

Correct Answer: a

Solution: At highest quantity, price will be falling, profit will be decreased. So, quantity agreed should be less than nash-equilibrium quantity.

QUESTION 5:

As the number of firms in an oligopoly increases, the price approaches to

a. **Marginal cost**
b. The monopolistic competition price
c. Monopoly price.
d. Zero.

Correct Answer: a

Solution: As the number of firms in an oligopoly increases, the price approaches to marginal cost.

QUESTION 6:

Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Each firms fixed cost is $0 and marginal cost is $10. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

If both the firms operate in perfectly competitive environment, how much quantity they together should produce?

a. 140

b. 120
c. 130
d. 110

Correct Answer: b

Solution: In perfect competiton, P=MC and economic profit will be zero. Calculate profit for the each level of output and you will find the profit will be zero at the output level of 120. Profit for output level at 120 is shown below:

In perfect competition, P=marginal cost=$10.

At Q=120, total cost= 120*10=1200 and revenue=P*Q=10*120=1200

Profit=0

QUESTION 7:

Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Each firms fixed cost is $0 and marginal cost is $10. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

If both the firms operate in monopoly environment, how much quantity they together should produce?

a. 50
b. 60
c. 100
d. 120

Correct Answer: b

Solution: If we calculate the profit for each level of output, we shall find the total profit will be highest for the production of 60 output.

QUESTION 8:

Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

Both the firms make a cartel and decided to produce 30 Units each at a price of $40 and yield a profit of $900. If T-mobile reneges and produces Q=50, what should be the market price?

a. 30
b. 20
c. 40
d. 35

Correct Answer: a

Solution: If T-mobile reneges and produces Q=50, market quantity will be =(50+30)=80 units. The market price is $30 at Q=80.

QUESTION 9:

Suppose T-Mobile and Verizon are the two firms supply cell phone in Smalltown. Each firms fixed cost is $0 and marginal cost is $10. Smalltown demand schedule is shown in below figure.

P ($)	0	5	10	15	20	25	30	35	40	45
Q	140	130	120	110	100	90	80	70	60	50

Both the firms make a cartel and decided to produce 30 Units each at a price of $40 and yield a profit of $900. If both the firms renege and produce Q=40, what should be the profit of each firm?

a. $1000
b. $1200
c. $1400
d. $800

Correct Answer: d

Solution: If both the firms renege and decide to roduce Q=40, market quantity will be 80. P=$30.

Each firm's profit= 40*($30-10)=$800.

QUESTION 10:

This table shows a game played between two players, A and B. The payoffs in the table are shown as (Payoff to A, Payoff to B).

		B		
		Left	*Center*	*Right*
A	*Up*	(3, 4)	(6, 2)	(3, 1)
	Middle	(2, 7)	(7, 6)	(4, 7)
	Down	(4, 5)	(6, 7)	(3, 5)

if player A chooses 'Down', player B should choose

a. Up and earn a payoff of 4.
b. Centre and earn a payoff of 7.
c. Middle and earn a payoff of 7.
d. Down and earn a payoff of 3.

Correct Answer: b

Solution: Payoff to B is highest in the 'Centre' choice among all choices under 'Down' which is equal to 7.

**********END*******